

November 2009 report, over fifty million consumers already use their mobile devices for coupons, and they estimate that as many as 200 million mobile subscribers will be redeeming them by 2013. Many coupons are now entirely electronic—uploaded to a store’s loyalty card or arriving on a cell phone as a promotion code. Store loyalty cards are registered with Coupons.com (a leader in digital couponing) or other similar networks where users can browse available coupons and select the offers they want saved to their card. When the card is scanned at the checkout, the coupons are automatically deducted. The transition linking digital promotions to loyalty cards wasn’t much of a stretch; shoppers had already developed a habit of swiping their store card for discounts.

The new frugal are a tech-savvy bunch. Consumers are increasingly turning to their phones for tasks such as comparing prices as well as using applications that allow them to download a coupon. With “Smartphones” like the iPhone and Blackberry, coupon apps are the new wave of the future. An August 2012 report from CouponCabin.com showed that nearly one in five smartphone owners who use coupons say they have an app on the device that is specifically designed for coupons. That number was even higher for men ages eighteen to thirty-four, with 30 percent saying they had a coupon app on their phone. In a recent report, Juniper research found that the total redemption value of mobile coupons will exceed forty-three billion dollars globally by 2016. One such program, SavingStar, is an electronic service and mobile app. It was launched in April 2011, and can be used at over 110 chains in fifty states, including drugstores like CVS and Rite Aid.